bursts of inflation can generate growth for some time. Thus, in the short run, the argument goes, higher inflation leads to higher growth.

But as the public gets used to the higher level of inflation, the only way to fool the public again is to generate yet higher inflation. The result is an inflationary spiral which creates tremendous costs for the public. Therefore, economists have argued – and a number of Nobel prizes have been given for the ideas contained in the previous paragraphs – that the best way for the central bank to generate growth in the long run is for it to keep inflation low and steady.

And if the public starts expecting that inflation will stay low, the central bank can cut interest rates significantly, thus encouraging demand and growth. Indeed, the reason the Malaysian Central Bank can keep rates low today to foster growth is because it has fought the battle against inflation and convinced its citizens that, if need be, it will smote the inflationary beast again if it rears its head.

Put differently, in order to generate sustainable growth, we have to fight inflation first. Let me also add that greater public faith that inflation will be low will add stability to our currency, and prevent the kind of gyrations we saw last summer. Exchange rate stability is central to business interests.

If we have to bring down inflation, we have to start today. We cannot wait till the public's expectations of higher inflation get more entrenched, and the inflationary spiral gains momentum. This is why we have raised interest rates three times since September.

But what about industrialists who tell us to cut rates? I have yet to meet an industrialist who does not want lower rates, whatever the level of rates. But will a lower policy interest rate today give him more incentive to invest? We at the RBI think not. First, we don't believe the primary factor holding back investment today is high interest rates. Second, even if we cut policy rates, we don't believe banks, who are